

Gold Advances as US Inflation Data Reaffirms Rate Cut Path



By [Yvonne Yue Li](#) and [Sybilla Gross](#)

December 19, 2024 at 7:28 PM EST

Updated on December 20, 2024 at 12:28 PM EST



Save



Translate



1:31



This article is for **subscribers only**.

Gold climbed after the Federal Reserve's favored US inflation gauge provided reassurance for policymakers looking to continue lowering borrowing costs in 2025.

The US central bank's preferred measure of underlying inflation was muted in November. The so-called core personal consumption expenditures price index, which excludes food and energy items, increased 0.1% from October and 2.8% from a year earlier, according to Bureau of Economic Analysis data out Friday. The monthly advance was the slowest since May.

The print marks one of the first reports indicating renewed progress on inflation after a stall in recent months. Fed officials earlier this week updated forecasts showing a higher path for prices and interest rates in 2025, which helped trigger a broad market selloff on Thursday.

Treasury yields and the dollar fell Friday, boosting bullion by as much as 1.5%, which helped to trim its weekly drop. Swap traders continued to price less than two quarter-point cuts by the end of next year.

The precious metal has surged 27% this year in a record-breaking run that's been supported by monetary easing in the US, safe-haven demand, and sustained buying by the world's central banks. The rally has stalled since

early November, however, as Donald Trump's US election victory buoyed the dollar.

Spot gold was up 1.2% to \$2,626.00 an ounce as of 12:28 p.m. in New York, on pace for a weekly loss of 0.8%. Silver, platinum, and palladium all advanced.

– *With assistance from Preeti Soni and Atul Prakash*



Contact us:

[Provide news feedback or report an error](#)

Site feedback:

[Take our Survey](#) [↗](#)

Confidential tip?

[Send a tip to our reporters](#)

Before it's here, it's on the [Bloomberg Terminal](#)